

Article | 7 July 2026

FX

Treasury FX report preview: Manipulation thresholds not breached despite USD decline

The summer edition of the US Treasury's FX report (covering 2025) looks unlikely to label any country a currency manipulator, as no trading partner breached all three criteria despite USD depreciation, according to our estimates. Still, the Swiss National Bank may be turning more cautious on intervention to stay within the Treasury's thresholds



We do not expect the summer edition of the US Treasury's FX report to label any country as a currency manipulator

The US Treasury should publish the summer edition of its semi-annual Report on Foreign Exchange Policies of Major Trading Partners (the "FX Report") soon. The report is prepared under two legislations:

- The 1988 law requiring the Treasury to identify foreign exchange manipulators
- The 2015 law introducing three quantitative criteria (chart below) – thresholds have been revised over time – for evaluating trade and FX practices.

FX report criteria thresholds

Criteria	Threshold (4Q rolling)
Significant bilateral trade surplus with the US	>15\$bn goods and services surplus
Material current account surplus	>3% of GDP
Persistent, one-sided intervention	Net FX purchases for at least 8 of 12 months' worth >2% of GDP

Source: US Treasury, ING

No manipulator labels, unchanged monitoring list

The summer edition covers January-December 2025, with the Treasury set to assess the three quantitative criteria, which we attempt to replicate in the table below.

Our baseline assumption is that a country is labelled an FX manipulator if all three criteria are met. As no country appears to have breached all three thresholds, we expect no manipulator designations this summer.

The report also updates the Monitoring List for enhanced scrutiny, including countries meeting two criteria or contributing disproportionately to the US trade deficit. Removal typically requires missing two criteria for two consecutive reports. The January 2026 list included China, Japan, Korea, Taiwan, Thailand, Singapore, Vietnam, Germany, Ireland and Switzerland, and we expect it to remain unchanged.

ING's estimates for the FX report's criteria

	Goods and services surplus with US (\$bn)	Current account balance (% of GDP, trailing 4Q)	Net FX purchases (% of GDP, trailing 4Q)	Net FX purchases (8 of 12 Months)
Mexico	203	-0.6	0.0	No
China*	202	3.7	-0.5	No
Vietnam**	178	6.4	-0.2	No
Taiwan	146	19.4	0.8	No
Ireland	114	8.2	-	-
Germany	73	4.5	-	-
Japan	64	4.9	0.0	No
India	58	-0.5	-1.3	No
Korea	57	6.7	-1.5	No
Canada	55	-1.0	0.0	No
Switzerland	32	6.4	0.6	Yes
Italy	32	1.1	-	-
Malaysia**	31	1.6	1.0	No
Thailand**	22	2.8	0.7	Yes
France	19	-0.3	-	-
Singapore	-4	16.7	3.1	Yes
Australia	-5	-2.7	0.0	No
Brazil	-14	-2.9	-0.2	No
UK	-32	-3.1	0.0	No

Figures in red are above the criteria's thresholds. Estimates are based on disclosed interventions when available or through the valuation-adjusted change in FX reserves, attempting to replicate the US Treasury's methodology.

*China's FX interventions estimated via monthly changes in the PBOC's foreign exchange assets ** Malaysia, Thailand and Vietnam convey intervention numbers privately to the Treasury, making it harder to estimate via FX reserves, we present ballpark estimates here. Source: ING estimates, Macrobond, IMF, Central bank disclosures

Context matters

The fundamental aim of the FX Report is to flag practices that artificially prevent appreciation of trading partners' domestic currencies, potentially granting a competitive trade advantage. This edition is notable as it cleanly captures 2025, a period of sharp USD depreciation, unlike the previous report, which mixed in late-2024 dollar strength.

A number of central banks stepped in with FX intervention to fight home currency appreciation in the Spring/Summer of 2025. This resulted in a slew of bilateral statements between the Treasury and other monetary authorities (Japan, Switzerland, Korea, Malaysia, Thailand, Taiwan), [which we discussed them in our previous edition's preview](#).

These agreements suggest, in our view, that the Treasury is not looking to designate manipulators at this stage. The dollar's rebound in 1H26 supports this, as intervention metrics should mechanically fall in the next report.

Switzerland keeping an eye on its metrics

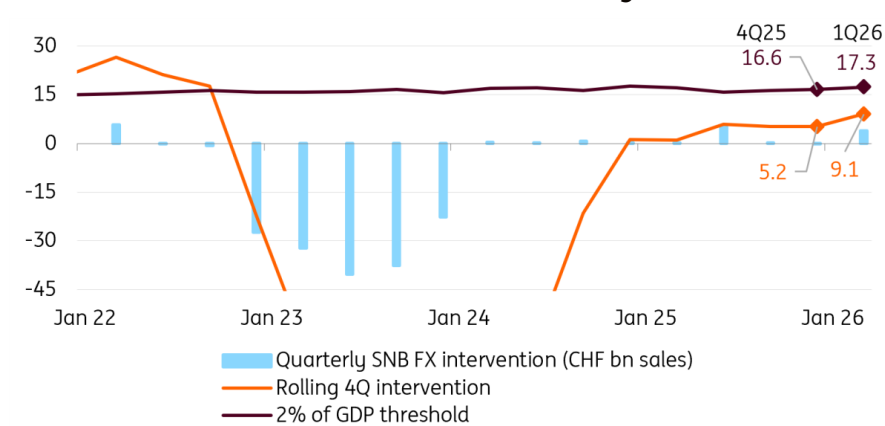
Taiwan, Switzerland and Thailand meet the trade surplus and current account criteria and, in our estimates, posted positive FX intervention in 2025, but remained below the 2% of GDP

threshold. Switzerland stands out, as CHF appreciation pressures re-emerged at the start of 2026.

The Swiss National Bank explicitly uses FX intervention as a policy tool. After heavy FX selling in 2023, it returned to purchases in 2025 to counter CHF strength. This drew scrutiny from the US Treasury, with a September 2025 joint statement clarifying that intervention is legitimate when aimed at curbing excessive volatility or disorderly moves and safeguarding price stability, rather than gaining a trade advantage.

However, it remains unclear whether this shields Switzerland from FX Report scrutiny if intervention exceeds the 2% threshold, leaving some uncertainty for the SNB. Official data show intervention at CHF 5.2bn (0.5% of GDP) in 2025 and CHF 9.1bn (0.8% of GDP) over the four quarters to 1Q26, versus a rolling 4Q threshold just above CHF 17bn.

SNB FX intervention and Treasury's threshold



Source: SNB, ING

All this could make the SNB more cautious on intervention, as markets may assume policymakers want to avoid breaching the threshold and potentially reigniting trade tensions with the US. This might fuel bullish CHF speculative bets if intervention is seen as constrained.

It helps explain why we do not expect significant CHF weakness over the next year. The SNB may only step in aggressively if EUR/CHF trades aggressively sub-0.90.

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